Management accounts: August 2026

Kestrel Pay Ltd and Kestrel Pay Europe Ltd, combined, in GBP. Unaudited. Issued on WD8, Thursday 10 September 2026, by Tom Whitfield (Financial Controller) with Jonas Berg (FP&A Manager). Reviewed by Daniel Reyes (CFO).

1. Summary

Table 1: Income summary, £000

Line	August 2026	August budget	Variance	July 2026	Q3 to date	Q3 to date budget
Revenue	13,401	13,650	(249)	13,520	26,921	27,350
Gross profit	7,746	7,990	(244)	7,815	15,561	16,000
Gross margin	57.8%	58.5%	(0.7) pts	57.8%	57.8%	58.5%
Operating costs	(7,156)	(7,230)	74	(7,114)	(14,270)	(14,460)
EBITDA	590	760	(170)	701	1,291	1,540

- **Revenue** was £249k (1.8%) below budget. UK card volume fell more than usual in August: Checkout payment volume was £1.58bn against £1.66bn in July. The 47-minute Checkout outage on 17 August (INC-2026-0817) cost about £7,900 of revenue, and the service credits to Checkout Pro merchants (about £2,650) are netted off August revenue. Payouts was flat on July; the two payroll bureaus went live on 1 September.
- **Gross margin** was 57.8%. Two merchant fraud cases added £61k of losses, of which £12k has been recovered so far.
- **Operating costs** were £74k under budget. Staff costs were under because headcount is 597 against a budget of 611; professional fees were over, mainly Carrow Finch's fees on the Dublin office lease (£85k).
- **Year to date** (January to August) revenue is £104.0m against a budget of £104.9m.

2. Revenue by product

Table 2: Revenue by product, £000

Product	August 2026	July 2026	August 2025	Change on August 2025
Kestrel Checkout	7,298	7,431	6,420	+13.7%
Kestrel Accounts	3,402	3,398	2,951	+15.3%
Kestrel Payouts	2,701	2,691	2,160	+25.0%
Total	**13,401**	**13,520**	**11,531**	**+16.2%**

3. Key measures at 31 August 2026

Measure	31 August 2026	31 July 2026
Merchant customers	49,310	48,790
Checkout payment volume in the month	£1.58bn	£1.66bn
Payouts volume in the month	£0.63bn	£0.64bn
Business accounts open	31,050	30,820
Customer funds safeguarded	£1.26bn	£1.25bn
Headcount	597	593
Kestrel's own cash	£70.8m	£71.0m

4. Cash

Cash fell by £0.2m in August, to £70.8m. EBITDA of £0.6m was more than used by capital spending of £0.9m (mostly capitalised development) and lease payments of £0.2m, with net interest of £0.1m received and a £0.2m inflow from working capital. Customer funds in the safeguarding accounts are not included.

5. Points for the exec team

1. **Q3 timetable.** The preliminary Q3 2026 Quarterly Report comes out on 30 September, before the close. Flash revenue for September goes to the exec team on WD3, Monday 5 October.
2. **Payouts bureaus.** Both bureaus went live on 1 September as planned. Together they should add about £0.2m of Payouts revenue a month.
3. **Brindle Print & Post.** The print contract (KPC-2025-0204) expires on 30 September. Hannah Kim needs to agree the renewal, or we will be invoiced at Brindle's proposed new rate of £1.62 a pack against our current £1.58.
4. **Hosting usage.** Ashgrove usage was within the committed capacity in August, but September Payouts volumes may take it over. Nadia Kowalski is watching it.
5. **Safeguarding audit.** Fernside & Co started interim fieldwork for the 2026 safeguarding audit on 7 September; the £140k fee will fall in September instead of Q4.